

1 ENGROSSED SENATE
2 BILL NO. 1176

By: Hall, Haste, and Kirt of
the Senate

3 and

4 Caldwell (Trey) and Kane of
5 the House

6
7 An Act relating to the Oklahoma Water Resources
8 Board; creating the Water and Wastewater
9 Infrastructure Investment Program; directing rule
10 promulgation; providing for clawback of funds;
11 defining terms; creating the Water and Wastewater
12 Infrastructure Investment Revolving Fund; stating
13 purpose of fund; establishing fund source;
14 authorizing certain expenditure; providing for
15 codification; providing an effective date; and
16 declaring an emergency.

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19 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

20 SECTION 1. NEW LAW A new section of law to be codified
21 in the Oklahoma Statutes as Section 1085.66 of Title 82, unless
22 there is created a duplication in numbering, reads as follows:

23 A. 1. The Oklahoma Water Resources Board shall establish and
24 administer a Water and Wastewater Infrastructure Investment Program.
The program shall include development of competitive loans for
eligible entities seeking to develop and implement water and
wastewater improvement projects, including, but not limited to,
incentivizing planning for water and wastewater infrastructure for
workforce housing development and commercial site readiness. The

1 Board shall promulgate rules to effectuate the provisions of this
2 act and loan criteria for the program.

3 2. For the purposes of this section, "eligible entity" or
4 "eligible entities" means an eligible entity as defined pursuant to
5 Section 1085.32 of Title 82 of the Oklahoma Statutes. However, the
6 Board may allocate funds to private citizens or entities for
7 environmental compliance and management programs.

8 B. All loans authorized pursuant to the provisions of this act
9 shall include a clawback provision in the funding agreement with an
10 eligible entity. For the purposes of this subsection, a "clawback
11 provision" shall mean a condition precedent to participate in the
12 program whereby a loan recipient agrees in writing to reimburse the
13 program all, or any part of, the loan disbursed to the recipient
14 upon the failure of the recipient to fulfill loan contract terms.

15 SECTION 2. NEW LAW A new section of law to be codified
16 in the Oklahoma Statutes as Section 1085.67 of Title 82, unless
17 there is created a duplication in numbering, reads as follows:

18 A. 1. There is hereby created in the State Treasury a
19 revolving fund for the Oklahoma Water Resources Board to be
20 designated the "Water and Wastewater Infrastructure Investment
21 Revolving Fund". The fund shall be a continuing fund, not subject
22 to fiscal year limitations, and shall consist of all monies
23 appropriated to the fund by law. All monies accruing to the credit
24 of the fund are hereby appropriated and may be budgeted and expended

1 by the Board for the purposes provided in this act. The Board may
2 enter into contracts with financial institutions and execute such
3 instruments as may be necessary to hold and disseminate loan funds
4 in accordance with applicable regulations and Board policies.

5 2. Notwithstanding any other provisions of law, principal and
6 interest income and repayment of principal on loans made from the
7 balance of the fund shall accrue to the fund.

8 B. The Board shall have full discretion of all monies within
9 the fund for enhancements, leveraging, and reserve capacities for
10 the Board loan and grant programs, system evaluation and risk
11 assessment assistance, and long-range infrastructure planning.

12 SECTION 3. This act shall become effective July 1, 2026.

13 SECTION 4. It being immediately necessary for the preservation
14 of the public peace, health or safety, an emergency is hereby
15 declared to exist, by reason whereof this act shall take effect and
16 be in full force from and after its passage and approval.

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1 Passed the Senate the 14th day of April, 2026.

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3 _____
4 Presiding Officer of the Senate

5 Passed the House of Representatives the ____ day of _____,
6 2026.

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9 Presiding Officer of the House
10 of Representatives